August 6, 2026 01:13 AM GMT

Advantech | Asia Pacific

Optimistic Outlook with Mitigated Margin Pressure

WHAT'S CHANGED

Advantech (2395.TW)	From	To
Price Target	NT$400.00	**NT$720.00**

AlphaSignals Earnings Reaction

Strengthens our thesis	**Meaningful upside**	**Meaningful revision higher**
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Strong revenue growth outlook, manageable near-term margin pressure, and emerging edge AI opportunities drive Advantech's earnings growth. Stay OW.

3Q26 revenue to stay strong but GM remains suppressed: Management expected revenue to continue to grow both QoQ and YoY, with GM and OPM roughly flat QoQ (37.7% and 19.6% in 2Q26) as component costs remain elevated. By region, it guides for North America to grow in double digits (%) QoQ and YoY, Europe to grow in single digits QoQ and double digits YoY, and China to be flat QoQ and up in double digits YoY. Book-to-bill (B/B) ratio was 1.44 in 2Q26, with NA, Europe, and China at 1.92, 1.25, and 1.21, respectively. It rose further to 1.64 in July, presaging continued strength in coming quarters. Meanwhile, design wins have been solid YTD, e.g. around US$650mn (+250% YoY) for 125 projects (+43% YoY) in North America (on track to reach US$900mn+ for 2026) and US$70-80mn in Europe, forming a decent backlog for future growth.

Component supply lead time lengthening: Management indicates much longer component lead time at 8-12 months recently vs. the prior 6-8 months. Despite the tight supply of several key components (PCB, SSD, CPUs, power ICs, etc.), it has secured most of the volume for its shipments in 2H26. It also plans another wave of selling price hikes in 2H26, probably in double digits (%), to pass the incremental costs on to its customers.

Edge AI – big opportunities: Advantech focuses on edge/physical AI for AI infrastructure and other verticals, such as manufacturing, medical, retail, energy, robotics, etc. On top of the hardware offerings, it also has the aspiration to have hardware/software integrated solutions (IWS: Integrated WISE Solution and Station). Edge AI accounted for 22.5% of its revenue in 1H26 and could be more than 30% for 2026 (vs. 15% in 2025)

Stay OW; price target lifted to NT$720 (30x 2027e P/E, implying a PEG of 1.0): We maintain the view that Advantech is well positioned to benefit from accelerating IoT market growth amid edge AI proliferation.

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Advantech (2395.TW, 2395 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	**Overweight**
Industry View	**In-Line**
Price target	NT$720.00
Up/downside to price target (%)	14
Shr price, close (Aug 5, 2026)	NT$633.00
52-Week Range	NT$633.00-271.00
Sh out, dil, curr (mn)	864
Mkt cap, curr (mn)	US$16,890
EV, curr (mn)	US$16,147
Avg daily trading value (mn)	US$36

Fiscal Year Ending	**12/25**	**12/26e**	**12/27e**	**12/28e**
EPS (NT$)**	12.25	20.27	23.77	26.97
Prior EPS (NT$)**	13.47	14.77	16.97	-
EPS (NT$)§	11.43	15.91	18.59	21.27
Revenue, net (NT$ mn)	70,882	102,882	117,458	129,338
EBITDA (NT$ mn)	12,777	20,941	24,975	28,349
ModelWare net inc (NT$ mn)	10,593	17,527	20,547	23,317
P/E	23.5	31.2	26.6	23.5
P/BV	4.5	8.8	8.0	7.2
RNOA (%)	35.0	53.1	62.2	67.1
ROE (%)	20.5	31.8	33.2	33.9
EV/EBITDA	17.6	24.7	20.5	17.8
Div yld (%)	2.9	1.8	2.3	2.7
FCF yld ratio (%)	2.2	2.7	3.1	3.9
Leverage (EOP) (%)	(43.7)	(48.6)	(51.1)	(55.3)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

Results Summary

2Q26 beat on operating profit: Off revenue of NT$26,126mn (+28% QoQ/+46% YoY), gross margin dropped 1.5ppt QoQ to 37.7%, short of consensus at 38.7% but at the midpoint of guidance at 38.0-40.0%. This reflected higher component costs, partially offset by price hikes.

Opex was well controlled at NT$4,718mn (opex ratio 18.1%) vs. consensus at NT$4,607mn (opex ratio 20.6%).

Operating profit thus came in at NT$5,127mn (operating margin 19.6%, surpassing guidance of 16.0-18.0%), above consensus of NT$4,026mn (operating margin 18.0%) by 27%.

With non-operating income of NT$463mn, net profit was NT$4,518mn (+36% QoQ/+127% YoY; EPS NT$5.23), 30% above consensus of NT$3,466mn (EPS NT$3.94).

Overall book-to-bill (B/B) ratio was 1.44 in 2Q26 (vs. 1.77 in 1Q26) – North America, Europe, and China were 1.92, 1.25, and 1.21, respectively, vs. 2.37, 1.76, and 1.30 in 1Q26.

Exhibit 1: Advantech: Results Summary

	2Q26E Results			Consensus	Diff (%)
NT$mn	Actual	QoQ	YoY		
Net sales	**26,126**	**28%**	**46%**	**22,327**	**17%**
COGS	-16,281	31%	52%	-13,694	19%
Gross profits	**9,845**	**23%**	**38%**	**8,633**	**14%**
Operating expenses	-4,718	11%	18%	-4,607	2%
Operating Profits	**5,127**	38%	64%	**4,026**	**27%**
Non-operating income	463	36%	-173%	217	113%
Pretax Profits	5,590	37%	124%	4,243	32%
Net Profits	**4,518**	**36%**	**127%**	**3,466**	**30%**
EPS (NT$)	**5.23**	**36%**	**127%**	**3.94**	**33%**
Margins (%)		*ppt*	*ppt*		*ppt*
Gross margin	37.7%	-1.5	-2.3	38.7%	-1.0
Operating margin	19.6%	1.3	2.1	18.0%	1.6
Pre-tax margin	21.4%	1.4	7.4	19.0%	2.4
Net margin	17.3%	0.9	6.1	15.5%	1.8

Source: Company data, Morgan Stanley Research estimates, Factset consensus

Advantech: Quarterly Financial Summary

Exhibit 2: Advantech: Quarterly Financial Summary

NT$ mn	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E	2025	2026E	2027E
Net sales	**17,351**	**17,836**	**17,774**	**17,921**	**20,385**	**26,126**	**28,185**	**28,185**	**70,882**	**102,882**	**117,458**
COGS	-10,323	-10,703	-10,866	-10,792	-12,405	-16,281	-17,526	-17,526	(42,685)	(63,738)	(72,187)
Gross profit	**7,028**	**7,133**	**6,908**	**7,129**	**7,980**	**9,845**	**10,659**	**10,659**	**28,198**	**39,144**	**45,271**
Operating expenses	-4,104	-4,010	-4,199	-4,318	-4,251	-4,718	-5,098	-5,065	(16,631)	(19,132)	(21,196)
SG&A, R&D exp.	-4,104	-4,010	-4,199	-4,318	-4,251	-4,718	-5,098	-5,065	(16,631)	(19,132)	(21,196)
Operating income	**2,924**	**3,123**	**2,708**	**2,811**	**3,728**	**5,127**	**5,562**	**5,594**	**11,567**	**20,012**	**24,075**
Non-operating income	**316**	**-630**	**568**	**870**	**340**	**463**	**215**	**215**	**1,123**	**1,232**	**860**
Interest income	56	73	53	69	49	68	65	65	251	248	260
Investment income	5	0	155	145	7	0	0	0	305	7	0
Disposal of investment	1	-1	0	0	0	-1	0	0	0	(1)	0
Exchange gain	235	-714	144	299	103	35	0	0	(36)	137	0
Others	19	11	216	356	181	361	150	150	603	842	600
Pre-tax income	**3,240**	**2,493**	**3,276**	**3,681**	**4,068**	**5,590**	**5,777**	**5,809**	**12,690**	**21,244**	**24,935**
Income tax	-549	-523	-531	-587	-750	-1,087	-982	-959	(2,189)	(3,777)	(4,447)
Minority interest	43	19	20	10	16	15	15	15	92	60	59
Net income	**2,734**	**1,989**	**2,766**	**3,103**	**3,334**	**4,518**	**4,809**	**4,866**	**10,593**	**17,527**	**20,547**
Adj.wtd.avg.shrs (mn)	864	864	864	864	864	864	864	864	864	864	864
EPS (NT$)	**3.16**	**2.30**	**3.20**	**3.59**	**3.86**	**5.23**	**5.56**	**5.63**	**12.25**	**20.27**	**23.77**
Fully diluted shares (mn)	864	864	864	864	864	864	864	864	864	864	864
Diluted EPS (NT$)	**3.16**	**2.30**	**3.20**	**3.59**	**3.86**	**5.23**	**5.56**	**5.63**	**12.25**	**20.27**	**23.77**
Margins (%)											
Gross Margin	40.5	40.0	38.9	39.8	39.1	37.7	37.8	37.8	39.8	38.0	38.5
Operating Margin	16.9	17.5	15.2	15.7	18.3	19.6	19.7	19.8	16.3	19.5	20.5
Pretax Margin	18.7	14.0	18.4	20.5	20.0	21.4	20.5	20.6	17.9	20.6	21.2
Net Margin	15.8	11.2	15.6	17.3	16.4	17.3	17.1	17.3	14.9	17.0	17.5
QoQ Growth (%)											
Sales	6	3	0	1	14	28	8	0			
Gross Profit	5	1	-3	3	12	23	8	0			
Operating Profit	16	7	-13	4	33	38	8	1			
Pretax Profit	1	-23	31	12	11	37	3	1			
Net Profit	4	-27	39	12	7	36	6	1			
YoY Growth (%)											
Sales	25	22	19	10	17	46	59	57	19	45	14
Gross Profit	27	20	12	6	14	38	54	50	16	39	16
Operating Profit	53	44	10	12	28	64	105	99	28	73	20
Pretax Profit	35	-5	19	15	26	124	76	58	16	67	17
Net Profit	37	-6	23	18	22	127	74	57	18	65	17

Source: Company data, Morgan Stanley Research. E=Morgan Stanley Research estimates.

Advantech: Financial Summary

Exhibit 3: Advantech: Financial Summary

Consolidated Income Statement

NT$ mn (Year End Dec 31)	2024	2025	2026E	2027E	2028E
Net sales	**59,786**	**70,882**	**102,882**	**117,458**	**129,338**
COGS	-35,410	-42,685	-63,738	-72,187	-78,947
Gross profit	**24,376**	**28,198**	**39,144**	**45,271**	**50,390**
Operating expenses	-15,326	-16,631	-19,132	-21,196	-22,941
Operating income	**9,050**	**11,567**	**20,012**	**24,075**	**27,449**
Non-operating income	**1,925**	**1,123**	**1,232**	**860**	**860**
Interest income	297	251	248	260	260
Investment income	163	305	7	0	0
Disposal of investment	404	0	-1	0	0
Exchange gain	284	-36	137	0	0
Others	777	603	842	600	600
Pre-tax income	**10,975**	**12,690**	**21,244**	**24,935**	**28,309**
Income tax	-2,086	-2,189	-3,777	-4,447	-5,051
Minority interests	117	92	60	59	59
Net income	**9,005**	**10,593**	**17,527**	**20,547**	**23,317**
Adj. wtd. Avg. shrs (m)	861	864	864	864	864
Reported EPS (NT$)	**10.45**	**12.25**	**20.27**	**23.77**	**26.97**
Diluted shrs (m)	861	864	864	864	864
Diluted EPS (NT$)	**10.45**	**12.25**	**20.27**	**23.77**	**26.97**

Consolidated Cash Flow Statement

NT$ mn (Year End Dec 31)	2024	2025	2026E	2027E	2028E
Operating Cashflow	**10,511**	**9,903**	**15,583**	**20,016**	**23,037**
Net Profits	9,005	10,593	17,527	20,547	23,317
Depreciation & Amort.	1,094	1,210	929	900	900
Investment losses/(income)	-562	-667	-7	0	0
Working capital change	-780	-923	-2,446	-1,240	-1,024
Other adjustments	1,754	-309	-420	-192	-156
Investing Cashflow	**-470**	**-4,221**	**-676**	**-2,104**	**-850**
Capex	-1,505	-2,837	-1,852	-2,114	-2,328
Change of L/T investment	122	362	0	0	0
Change of S/T investment	-493	-497	0	0	0
Other adjustments	723	-1,255	0	0	0
Financing Cashflow	**-7,792**	**-7,846**	**-8,790**	**-12,783**	**-15,125**
Increase in L/T debt	-109	-61	0	0	0
Increase in S/T debt	-2	0	0	0	0
Issuance of stock	0	0	0	0	0
Cash dividends	-8,158	-7,259	-9,697	-12,707	-14,897
Other adjustments	477	-526	907	-76	-229
FX adjustment	357	-136	-137	0	0
Net change in cash	**2,605**	**-2,300**	**5,980**	**5,128**	**7,061**

Consolidated Balance Sheet

NT$ mn (Year End Dec 31)	2024	2025	2026E	2027E	2028E
Cash	**13,617**	**11,317**	**17,297**	**22,425**	**29,486**
Mkt securities	6,839	7,877	7,877	7,877	7,877
AR/NR	10,124	10,535	15,292	17,458	19,224
Inventory	10,554	11,835	17,672	20,014	21,889
Others	1,066	932	1,352	1,544	1,700
Current Assets	**42,200**	**42,496**	**59,489**	**69,318**	**80,175**
Long-term investments	10,990	12,895	12,895	12,895	12,895
Fixed assets	12,244	14,452	14,199	15,403	15,353
Other assets	6,308	5,876	5,876	5,876	5,876
Total Assets	**71,742**	**75,718**	**92,458**	**103,491**	**114,299**
S/T borrowings	-	-	-	-	-
AP/NP	6,911	7,681	11,469	12,989	14,206
Other ST liabilities	8,658	8,837	13,195	14,944	16,344
Total Current Liabilities	**15,569**	**16,517**	**24,664**	**27,934**	**30,550**
L/T debt	156	150	150	150	150
Other LT libilities	4,219	4,001	5,807	6,629	7,300
Total Liabilities	**19,945**	**20,668**	**30,621**	**34,713**	**38,000**
Common shares	8,634	8,652	8,652	8,652	8,652
Retained Earnings	20,913	22,604	30,290	38,130	46,550
Other SH' Equity	22,249	23,794	22,895	21,996	21,097
Total Shareholders' Equity	**51,797**	**55,049**	**61,837**	**68,778**	**76,299**
Total Liab./SH's Equity	**71,742**	**75,718**	**92,458**	**103,491**	**114,299**

Consolidated Financial Ratios

	2024	2025	2026E	2027E	2028E
Margins (%)					
Gross margin	40.8	39.8	38.0	38.5	39.0
Operating margin	15.1	16.3	19.5	20.5	21.2
Pretax margin	18.4	17.9	20.6	21.2	21.9
Net margin	15.1	14.9	17.0	17.5	18.0
YoY growth (%)					
Sales	-7.4	18.6	45.1	14.2	10.1
Operating profits	-25.4	27.8	73.0	20.3	14.0
Pretax profits	-17.3	15.6	67.4	17.4	13.5
Net profits	-16.9	17.6	65.5	17.2	13.5
Others					
Cash dividend payout (%)	75	80	75	73	73
Cash div (NT$)	9.5	8.4	9.2	14.7	17.2
Yield (%)	3	3	3	3	5
Net Debt/Equity (%)	-39	-35	-40	-44	-49
Liabilities/Equity (%)	39	38	50	50	50
Liabilities/Assets (%)	28	27	33	34	33
ROAE (%)	18	20	30	31	32
ROAA (%)	13	14	21	21	21
AR/NR Turnover (days)	59	53	46	51	52
Inventory Turnover (days)	105	96	84	95	97
AP/NP Turnover (days)	67	62	55	62	63
Cash conversion cycle	97	87	75	84	86

Source: Company data, Morgan Stanley Research. E=Morgan Stanley Research estimates

Advantech: Estimate Revisions

We lift our earnings estimates 37% for 2026 and 40% for 2027 to factor in the strong 1Q/2Q26 key actuals, along with the upbeat outlook. We also introduce our 2028 estimates accordingly.

Exhibit 4: Advantech: Estimate Revisions

Year to Dec. 31	**2026E**			**2027E**			**2028E**		
NT$ mn	**New**	**Old**	**% diff**	**New**	**Old**	**% diff**	**New**	**Old**	**% diff**
P&L Summary									
Net sales	**102,882**	**80,754**	**27%**	**117,458**	**90,288**	**30%**	**129,338**		
COGS	-63,738	-48,354		-72,187	-53,692		-78,947		
Gross profit	**39,144**	**32,401**	**21%**	**45,271**	**36,596**	**24%**	**50,390**		
Operating expenses	-19,132	-18,343		-21,196	-20,224		-22,941		
Operating income	**20,012**	**14,058**	**42%**	**24,075**	**16,372**	**47%**	**27,449**		
Non-operating income	1,232	1,360		860	1,360		860		
Pre-tax income	**21,244**	**15,418**	**38%**	**24,935**	**17,732**	**41%**	**28,309**		
Income tax	-3,777	-2,749		-4,447	-3,160		-5,051		
Minority interest	60	80		59	80		59		
Net income	**17,527**	**12,750**	**37%**	**20,547**	**14,652**	**40%**	**23,317**		
EPS (NT$)	**20.27**	**14.77**	**37%**	**23.77**	**16.97**	**40%**	**26.97**		
Margins									
Gross margin	38.0%	40.1%		38.5%	40.5%		39.0%		
Operating margin	19.5%	17.4%		20.5%	18.1%		21.2%		
Pretax margin	20.6%	19.1%		21.2%	19.6%		21.9%		
Net margin	17.0%	15.8%		17.5%	16.2%		18.0%		

Source: Morgan Stanley Research (E) estimates

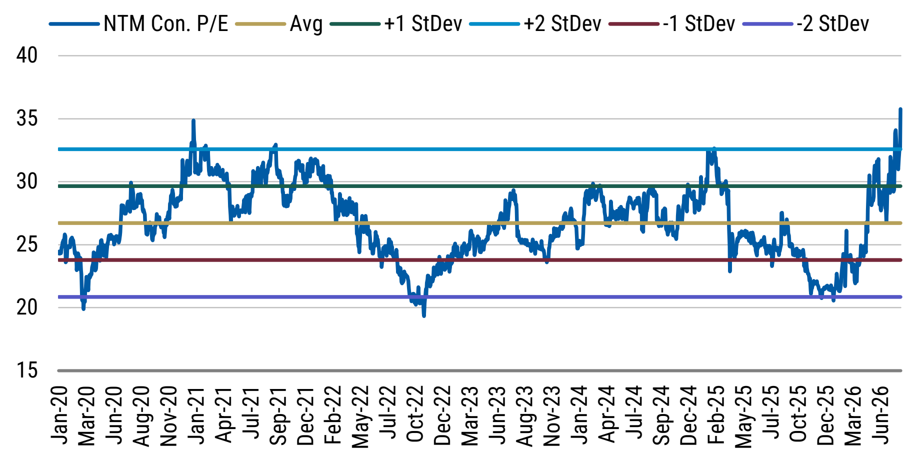
Advantech: Valuation Methodology

Price target of NT$720 (previously NT$400): This is our base case value, based on a target P/E multiple of 30x applied to our 2027 EPS estimate (30x 2025e P/E previously). We view our target multiple as justifiable by our 30% earnings CAGR forecast for 2025-28 vs. the stock's average one-year forward P/E of 25x in 2015-22 and the earnings CAGR of 8% during that period.

Bull case scenario value – NT$950 (previously NT$500): We apply a 40x P/E multiple to our earnings estimate for 2027 (37x 2025e P/E previously). This scenario mainly reflects more top- and bottom-line growth from the platform and applications by leveraging the solid base in IoT edge layer devices.

Bear case scenario value – NT$380 (previously NT$215): We apply a 16x P/E multiple to our earnings estimate for 2027 (16x 2025e P/E previously). This scenario factors in slower progress in the edge AI implementation, which could lead to weaker revenue and earnings growth. The macro environment could also cast some uncertainty on the stock's outlook.

Exhibit 5: Advantech: NTM P/E



Source: Factset consensus, Morgan Stanley Research

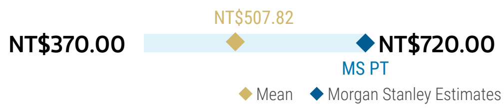
Risk Reward – Advantech (2395.TW)

Well-positioned to ride secular IoT trend and increasing edge AI applications

PRICE TARGET NT$720.00

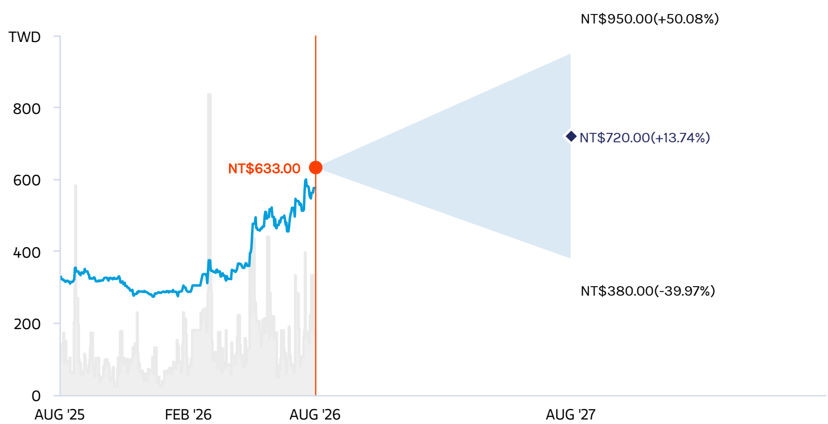
Base case, 30x 2027e P/E. We view our target multiple as justified by our 30% earnings CAGR forecast for 2025-28. It implies a PEG of 1.0, vs. the stock's average one-year forward P/E of 25x in 2015-22 and the earnings CAGR of 8% during that period, with a PEG of 3.5.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



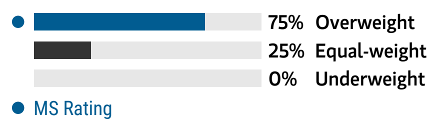
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- We like Advantech for its well-planned business strategy to capture upcoming growth in the industrial IoT era.
- It is a leading IPC maker that surpasses peers by a wide margin and has multiple growth engines.
- We expect Advantech to benefit from the secular trend of IoT implementation for various verticals, as it is gradually transitioning from a hardware manufacturer to a hardware + software solutions provider.
- Increasing edge AI applications are another tailwind.
- We view a target P/E of 30x for 2027e as appropriate.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*

View descriptions of Risk Rewards Themes here

BULL CASE NT$950.00

40x 2027e EPS

Faster-than-expected software business growth: Leveraging the solid base in IoT edge layer devices, it could drive more top- and bottom-line growth from the platform and applications.

BASE CASE NT$720.00

30x 2027e EPS

Riding on the industrial IoT proliferation wave: Advantech benefits from IoT implementation, with its core competence in IPCs and growing business in IoT platform and solution-ready packages. We also see significant opportunities in edge AI.

BEAR CASE NT$380.00

16x 2027e EPS

Slower growth beyond hardware and macro uncertainties: Slower progress in edge AI implementation that could lead to weaker revenue and earnings growth. The macro environment could also cast some uncertainty on its outlook.

Risk Reward – Advantech (2395.TW)

KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Industrial-IoT YoY (%)	15.7	10.7	12.7	0.0
Embedded-IoT + Allied DMS (Design-in) YoY (%)	12.4	10.4	12.6	0.0
Service-IoT YoY (%)	44.5	7.6	8.3	0.0
AGS & APS YoY (%)	8.4	6.0	5.8	0.0

INVESTMENT DRIVERS

- Margin improvement
- Monthly sales growth
- Software business progress

GLOBAL REVENUE EXPOSURE

- 0-10% India
- 0-10% Japan
- 0-10% MEA
- 0-10% UK
- 10-20% APAC, ex Japan, Mainland China and India
- 10-20% Europe ex UK
- 20-30% Mainland China
- 20-30% North America

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

2/5 MOST	3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger-than-expected macroeconomic conditions
- More top- and bottom-line growth from the platform and applications

RISKS TO DOWNSIDE

- Weaker macro environment
- Slower progress in edge AI implementation

OWNERSHIP POSITIONING

Inst. Owners, % Active 63.1%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

	Low	Mean	Morgan Stanley Estimates
Sales / Revenue (NT$, mn)	80,297	87,677	102,882
EBIT (NT$, mn)	13,478	15,890	20,012
Net income (NT$, mn)	12,188	13,875	17,527
EPS (NT$)	14.10	15.91	20.27
ROE (%)	21.2	24.9	31.8

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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(as of July 31, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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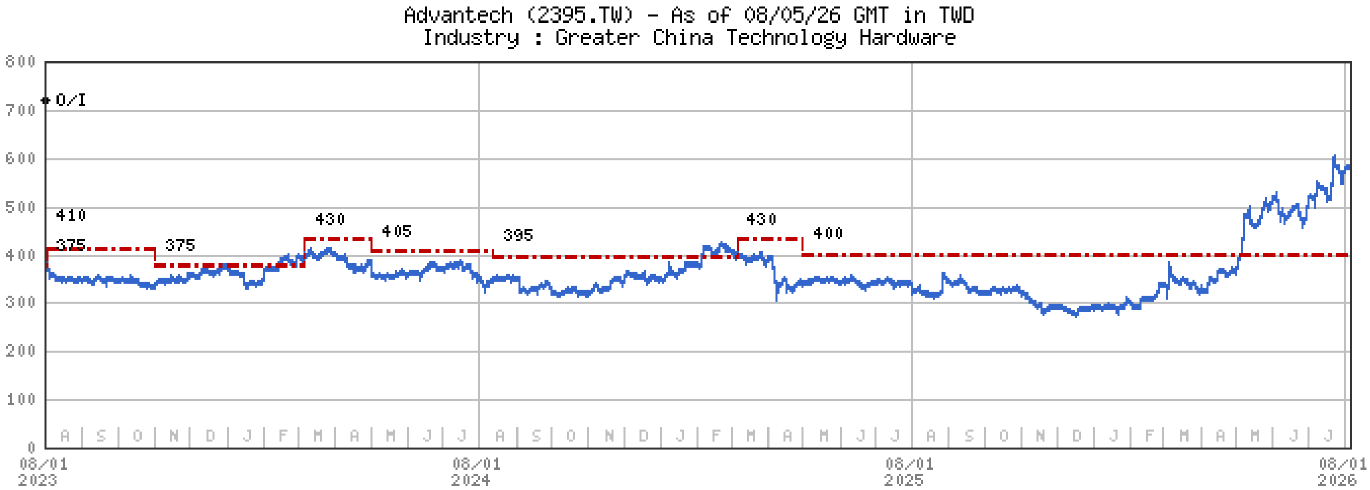

Stock Rating History: 8/1/21 : O/I

Price Target History: 3/10/21 : 395.45; 5/4/22 : 404.55; 11/2/22 : 345.45; 3/2/23 : 355.45; 5/3/23 : 372.73; 7/4/23 : 375; 8/2/23 : 410; 11/2/23 : 375; 3/6/24 : 430; 5/2/24 : 405; 8/12/24 : 395; 3/6/25 : 430; 5/1/25 : 400

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/05/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK$41.94
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb171.55
BYD Electronics (0285.HK)	O (04/28/2023)	HK$24.64
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb8.15
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb17.18
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb424.30
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT$533.00
GoerTek Inc (002241.SZ)	U (04/23/2025)	Rmb23.71
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.82
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb38.44
Largan Precision (3008.TW)	O (07/10/2026)	NT$4,575.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb7.80
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb12.97
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb55.87
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb7.87
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK$7.41
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb47.32
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK$36.06
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb56.90
Sunny Optical (2382.HK)	E (03/23/2026)	HK$59.45
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb216.85
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb17.08
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK$27.64
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb312.40
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK$121.00
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb102.22

Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb27.14
Zhongji Innolight Co Ltd (300308.SZ)	++	Rmb947.74
ZTE Corporation (0763.HK)	O (06/04/2026)	HK$25.38
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb34.74
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT$2,385.00
Advantech (2395.TW)	O (01/20/2021)	NT$633.00
AirTAC International (1590.TW)	O (04/16/2025)	NT$1,510.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT$2,730.00
AU Optronics (2409.TW)	E (02/10/2026)	NT$24.45
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT$965.00
Bizlink (3665.TW)	O (03/10/2025)	NT$2,355.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb5.97
Chenbro (8210.TW)	O (07/23/2025)	NT$1,170.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT$1,885.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT$1,650.00
E Ink Holdings Inc. (8069.TWO)	O (05/11/2026)	NT$195.50
Ennostar Inc (3714.TW)	U (09/23/2022)	NT$55.10
Fositek Corp (6805.TW)	O (06/25/2025)	NT$1,600.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT$365.00
Innolux (3481.TW)	E (04/07/2025)	NT$47.80
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT$9,470.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb35.09
Lite-On Technology (2301.TW)	E (01/15/2025)	NT$249.00
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.87
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb6.72
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb204.00
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT$30.25
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT$838.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT$181.50
Compal Electronics (2324.TW)	U (04/23/2025)	NT$36.95
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK$6.19
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb65.92
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT$342.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT$940.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT$258.50
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb77.20
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT$2,160.00
Lenovo (0992.HK)	O (07/10/2026)	HK$26.28
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT$1,955.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT$1,060.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT$89.50
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT$304.00
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb122.79
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb349.18
Unimicron (3037.TW)	O (02/23/2026)	NT$969.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT$388.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT$193.00
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT$6,175.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT$578.00
Zhen Ding (4958.TW)	O (05/18/2026)	NT$488.00

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.